24STCV25111 24STCV25111

County: los-angeles

Division: Civil Law and Motion

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Case Number: 24STCV25111 Hearing Date: June 24, 2026 Dept: 511

Tentative Ruling

Judge Upinder S.

Kalra, Department 511

HEARING DATE: June

24, 2026

CASE NAME: Modvans,

Inc. v. Atlantic Casualty Insurance Company, et al.

CASE NO.: 24STCV25111

MOTION

TO CONTEST GOOD FAITH SETTLEMENT

MOVING PARTY: Defendants

Amwins Access Insurance Services, LLC and Atlantic Casualty Insurance Company

RESPONDING PARTY(S): Defendant Nigel Green Insurance

Agency, Inc.

REQUESTED RELIEF:

1. An

order finding the settlement entered into between Defendant Nigel Green

Insurance Agency, Inc. and Plaintiff Modvans, Inc. was not made in good faith.

TENTATIVE RULING:

1. Motion

to contest application for good faith settlement is DENIED;

2. Application

for determination of good faith settlement is GRANTED.

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

On September 30, 2024, Plaintiff ModVans, Inc.

(Plaintiff or Modvans) filed a Complaint against Defendants Atlantic Casualty

Insurance Company, Nigel Green Insurance Agency, Inc.,

and Amwins Access Insurance Services, LLC (Defendants) with three

causes of action for: (1) Breach of the Duty to Pay a Covered Insurance Claim;

(2) Breach of the Duty of Good Faith and Fair Dealing; and (3)

Negligence.

According to the Complaint, Plaintiff had an insurance

policy issued by Defendant Atlantic Casualty Insurance Company

(Atlantic) (the Policy) that Defendant Nigel Green Insurance Agency, Inc. (Green) obtained for it by working with Defendant Atlantic's managing agent, Amwins Access Insurance Services, LLC (Amwins). Plaintiff alleges that on December 11, 2023, a fire destroyed its production facility which caused Plaintiff to sustain approximately $5,800,500.00. Plaintiff further alleges that Defendants improperly bound the Policy at old coverage limits despite Plaintiff's negotiation for an increase and that Defendants are not performing under the Policy.

On November 8, 2024, Amwins filed an Answer.

On November 19, 2024, Green filed an Answer.

On December 26, 2024, Atlantic filed a demurrer which the court OVERRULED.

On April 24, 2025, Atlantic filed an Answer and a cross-complaint against Modvans for declaratory relief.

On May 9, 2025, Modvans filed an Answer to Atlantic's cross-complaint.

On April 28, 2026, Amwins filed a motion for summary judgment, or alternatively, summary adjudication (MSJ).

On April 29, 2026, Green filed an application for determination of good faith settlement.

On May 26, 2026, Amwins filed the instant motion to contest

Green’s good faith settlement. On June 3, 2026, Atlantic filed a joinder to Amwins’ motion. On June 10, 2026, Green filed an opposition. On June 16, 2026, Amwins filed a reply.

LEGAL STANDARD:

California Code of Civil Procedure section¿877.6, subdivision¿(a)(1),¿provides, in relevant part, that, on noticed motion, “[a]ny¿party to an action wherein it is alleged that two or more parties are joint¿tortfeasors¿or co-obligors on a contract debt shall be entitled to a hearing on the issue of the good faith of a settlement entered into by the plaintiff¿. . . and one or more alleged¿tortfeasors¿or co-obligors¿. . . .”¿¿“A determination by the court that the settlement was made in good faith shall bar any other joint¿tortfeasor¿or co-obligor from any further claims against the settling¿tortfeasor¿or co-obligor for equitable comparative contribution, or partial or comparative indemnity, based on comparative negligence or comparative fault.”¿¿(Code Civ. Proc.,¿§ 877.6, subd.¿(c).)¿¿Although a determination that a settlement was in good faith does not discharge any other party from liability, “it shall reduce the claims against the others in the amount stipulated” by the settlement.¿¿(Code Civ. Proc.,¿§ 877, subd.¿(a).)¿¿¿

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In¿City of Grand View

Terrace v. Superior Court,¿the court¿provided¿the following guidance¿regarding¿a motion for a good faith settlement determination:¿¿¿

¿¿

This court notes that of the hundreds of motions for good faith determination presented for trial court approval each year, the overwhelming majority are unopposed and granted summarily by the trial court.¿ At the time of filing in many¿cases, the moving party does not know if a contest will develop.¿ If each motion required a full recital by declaration or affidavit setting forth a complete factual response to all of the¿Tech-Bilt¿factors, literally thousands of attorney hours would be consumed and inch-thick motions would have to be read and considered by¿trial courts in an exercise which would waste valuable judicial and legal time and clients' resources. . ..¿That is to say, when¿no one objects, the barebones motion which sets forth the ground of good faith, accompanied by a declaration which sets forth a brief background of the case is sufficient.¿¿¿

If the good faith settlement is contested, section 877.6, subdivision (d), sets forth a workable ground rule for the hearing by placing the burden of proving the lack of good faith on the contesting party.¿¿Once there is a showing made by the settlor of the settlement, the burden of proof on the issue of good faith

shifts to the¿nonsettlor¿who asserts that the settlement was not made in good

faith.¿¿If contested, declarations by the¿nonsettlor¿should be filed which in

many cases could require the moving party to file

responsive¿counterdeclarations¿to negate the lack of good faith asserted by

the¿nonsettling¿contesting party.¿¿¿

((1987) 192 Cal.App.3d 1251, 1260-1261¿[citation

omitted].)¿¿¿

¿¿

The evaluation of whether a settlement was made in good

faith is¿required¿to "be made¿on the basis of¿information available at the time

of settlement."¿¿(Tech-Bilt, Inc.,¿supra,¿38¿Cal.3d at¿p.¿499.)¿¿"'[A] defendant's settlement figure must

not be grossly disproportionate to what a reasonable person, at the time of the

settlement, would estimate the settling defendant's liability to be.'

[Citation.]"¿¿(Ibid.)¿¿¿

¿¿

"The party asserting the lack of good faith, who has the

burden of proof on that issue (§ 877.6,¿subd. (d)), should

be¿permitted¿to¿demonstrate, if he can, that the settlement is so far¿'out of

the ballpark'¿in relation to these factors as to be inconsistent with the¿equitable¿objectives¿of¿the statute.¿¿Such a demonstration

would¿establish¿that the proposed settlement was not a¿'settlement made in good

faith'¿within the terms of section 877.6."¿¿(Id.¿at pp. 499-500.)¿¿¿

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"[A] court not only looks at the alleged tortfeasor's

potential liability to the plaintiff, but¿it must also consider the culpability

of the tortfeasor vis-à-vis other parties alleged to¿be responsible for¿the

same injury.¿ Potential liability for indemnity to a¿nonsettling¿defendant is

an important consideration for the trial court in¿determining¿whether to

approve a settlement by an alleged tortfeasor.¿ [Citation.]"¿ (TSI Seismic Tenant Space, Inc. v. Superior

Court¿(2007) 149 Cal.App.4th 159, 166.)¿¿¿

ANALYSIS:

Amwins contends that Green's settlement with Plaintiff is not in good faith because they are

responsible for the "lion's share" of the alleged underinsurance and the

settlement is grossly disproportionate to Green's potential liability (with Plaintiff

claiming damages exceeding $12 million). Amwins further contends that Green

withheld critical information, misrepresented facts surrounding the settlement,

and avoided discovery, and therefore the court should either deny good-faith

approval or continue the hearing for discovery.[1]

Green argues that the mediated settlement is well within the

Tech-Bilt ballpark because liability is disputed, Modvans faces financial distress, and Amwins bears primary fault for miscommunications, underwriting delays, and mishandling of the renewal. Green further argues Amwins’ motion is untimely, speculative, and an improper attempt to litigate indemnity issues never pleaded, providing no evidence of collusion or bad faith.

Amwins replies that Green did not rebut any of the arguments, the undisputed evidence shows that settlement is drastically below Green’s likely liability, and that they should be allowed to conduct further discovery on all factors.

To¿determine¿whether settlement has been in good faith, courts look at certain factors. In¿Tech-Bilt, Inc. v. Woodward-Clyde & Associates¿(1985) 38 Cal.3d 488, 499, the California Supreme Court identified the following nonexclusive factors courts are to consider in determining if a settlement is in good faith under section 877.6: “a rough approximation of plaintiffs’¿total recovery and the settlor's proportionate liability, the amount paid in settlement, the allocation of settlement proceeds among plaintiffs, and a recognition that a settlor should pay less in settlement than he would if he were found liable after a trial.¿¿Other relevant considerations include the financial conditions and insurance policy limits of settling defendants,¿as well as the existence of collusion, fraud, or tortious conduct aimed to injure the interests of¿nonsettling¿defendants.”¿¿

Factor 1:

Proportionate Liability¿

Amwins and Atlantic contend this factor is against Green because Green is mostly (if not solely) at fault for Plaintiff’s alleged damages and the settlement is grossly disproportionate to this share of liability.

“A good faith settlement does not call for perfect or even nearly perfect apportionment of liability.” (PacifiCare of California v. Bright Medical Associates, Inc. (2011) 198 Cal.App.4th 1451, 1465.) “[I]t is quite proper for a settling defendant to pay less than his proportionate share of the anticipated damages.” (Ibid.) “What is required is simply that the settlement not be grossly disproportionate to the settlor’s fair share.” (Ibid.)

Here, this factor weighs in favor of good faith. To start, Amwins provided evidence of timeline of events and Plaintiff’s damages to support their position.[2]

Amwins relies on Plaintiff’s complaint (not evidence), discovery responses that quote the complaint and state seeking millions of dollars in uncovered losses, and a demand letter to settle within policy limits for a claim with “the possibility for a verdict in excess of $10 million." (Exhibits In Support of Mot., Exhibits KK [Plaintiff's responses to Green's special interrogatory (set one), no. 1]; Exhibit II [Plaintiff's amended responses to Amwins' special interrogatories (set one), no. 8 [same]; Exhibit GG [settlement demand letter].) However, the court is not persuaded that Amwins' assertion that Plaintiff's damages are $12 million to support the claim that Green's settlement of nearly $2 million is sufficient. Indeed, the same settlement demand calculates a total damages (absent interest and consequential damages) at $5,208,500.00. (Exhibit GG.) What follows is that the $2 million is in the ballpark of Plaintiff's actual damages.

Next, the timeline evidence shows that Green was Plaintiff's insurance broker, owed a duty of care as such, and likely breached that duty of care. The court is not convinced, however, that Green is solely at fault. What is more, payment of $2 million compared to demands of approx.. $5.2 million dollars of actual damages is not so outside the ball park of Green's proportionate liability – even if they were "lion's share" responsible – because that amounts to about 40%.

Accordingly, this factor weighs in favor of good faith.

Factor 2:¿Amount

Paid in Settlement¿

Here, this factor weighs in favor of good faith. Notably, Green

is paying $1,950,000.00 in settlement. (Declaration of Frederic T. Tanner in

Support of Opposition (Tanner Decl.) ¶ 2.) This is hardly insignificant.

Accordingly, this factor weighs in favor of finding good

faith.

Factor

3:¿Recognition Settlor Should Pay Less in Settlement¿

Here, this factor weighs in favor of good faith. As above,

Green is paying almost $2 million in settlement for a claim with purported

actual damages of $5.2 million. (Exhibit GG.) Additionally, the settlement was

a result of a mediator's proposal which indicates to the court that the

mediator has also evaluated Plaintiff's claim. (Tanner Decl. ¶ 2.)

Accordingly, this factor weighs in favor of finding good

faith.

Factor

4:¿Allocation of Settlement Proceeds Among Plaintiffs¿

This factor does not apply because there is only one

Plaintiff.¿¿

Factor 5:¿Settlor's

Financial Condition and Insurance Policy Limits¿

Here, this factor weighs in favor of good faith. First, The policy limits is $3 million. (Declaration of Chad Westfall (Westfall Decl.) ¶ 14, Exhibit KK.) Second, the settlement is $1 million short of that. Accordingly, this factor weighs in favor of finding good faith.

Factor 6:¿Evidence of Collusion, Fraud, or Tortious Conduct Between Settlor and Plaintiffs Aimed at Making the¿Nonsettling¿Parties Pay More than Their Fair Share¿

The settlement was reached on April 1, 2026 during mediation as a result of the mediator’s proposal. (Tanner Decl. ¶ 2.) In opposing the settlement, Amwins provides counsel’s “understanding” that a revised conditional settlement demand reduction from $10 million to $3.75 million “was issued to allow an argument for a lower settlement ‘ball park’ . . . .” (Westfall Decl. ¶ 12.) The court is not convinced.[3]

Again, this settlement was the result of a mediator’s proposal. It follows that the mediator evaluated the claim, too, when negotiating the parties to settlement and in arriving at their proposal. There is no other assertion of bad faith.

Accordingly, this factor weighs in favor of finding good faith.

Indemnity to Other

Defendants

“When evaluating whether the parties reached a settlement in good faith, a trial court must examine not only the settling tortfeasor’s potential liability to the plaintiff, but also the settling tortfeasor’s potential liability to all nonsettling tortfeasors.” (PacifiCare of California, supra, 198 Cal.App.4th at p. 1465-1466.)

Here, this factor also weighs in favor of finding good faith. To start, to the extent there is an express indemnity agreement, that will survive a good faith finding. (C. L. Peck Coontractors v. Superior Court (1984) 159 Cal.App.3d 828, 831.) Next, there is only one cross-complaint in this action and it is for declaratory relief against Modvans, not for equitable or implied indemnity against Green. Therefore, at this time there is no evidence of indemnity to other defendants that would be negatively impacted by a finding of good faith.

Accordingly, this factor weighs in favor of good faith, too.

Discovery

A party contesting a good faith settlement motion may move for a continuance to conduct discovery on any Tech-Bilt factor. (City of Grand Terrace v. Superior Court (1987) 192 Cal.App.3d 1251, 1265.)

Amwins seeks discovery on Green’s financial condition, collusion, etc. However, there is no good reason to conduct further discovery.

To start, Amwins already had information on Green's insurance policy limits (i.e. financial condition). (Westfall Decl. ¶ 14.) They also had sufficient information to challenge the other Tech-Bilt factors. The only issue with tenuous evidence was the final factor for evidence of collusion. As discussed above, the court rejects that argument since the settlement was the result of a mediator's proposal. As such, there is nothing left for discovery.[4]

Accordingly, the court DENIES Amwins' request to conduct limited discovery.

Thus, the court GRANTS Green's application for determination of good faith settlement and DENIES Amwins' and Atlantic's motion contesting good faith settlement.

CONCLUSION:

For the foregoing reasons, the Court decides the pending motion as follows:

1. Motion to contest application for good faith settlement is DENIED;

2. Application for determination of good faith settlement is GRANTED.

Moving party is to give notice.

IT IS SO ORDERED.

Dated: June 24, 2026 ___________________________________ Upinder

S. Kalra

Judge

of the Superior Court

[1]

Atlantic joined in Amwins' arguments.

[2]

This goes to the proportionate liability calculation as framed by the parties.

[3]

Put differently, another reasonable interpretation of this exchange is Plaintiff's reassessment of their case. That would not be evidence of collusion or bad faith.

[4]

In City of Grand Terrace, the opponent had zero evidence to support their challenge to two factors. Here, conversely, Amwins has evidence to challenge the factors such that the court could make an "educated guess" on the ball park figure. (North County Contractor's Assn. v. Touchstone Ins. Services (1994) 27 Cal.App.4th 1085, 1095.)